

Conflict of Interest Policy

Anchorage Capital Fund and its Schemes

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Four Dimensions Advisors Private Limited

(Investment Manager)

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I. INTRODUCTION

This conflicts-of-interest policy (**'Conflicts Policy'**) describes the circumstances which constitute or may give rise to a conflict of interest and the procedures to be followed and measures to be adopted in order to manage such conflicts.

Four Dimensions Advisors Private Limited (the **'Investment Manager'**) is obliged to establish, maintain and operate effective organisational and administrative arrangements with a view to taking all reasonable steps to prevent conflicts of interest from adversely affecting the interests of the Investors.

This Conflicts Policy applies to investment management functions and ancillary services.

II. OBJECTIVE

To ensure that conflicts of interest relating to the Trustee, the Investment Manager, Sponsor, partners, employees, officers, agents or Affiliates of the Trustee, the Investment Manager, Sponsor and other funds managed/advised, now or in future, by the Trustee, the Investment Manager and/or the Sponsor (collectively, the **'Interested Parties'**) are properly managed.

To ensure that conflicts of interest within the firm (taking into account the interests of team members) are identified, managed and, where necessary, disclosed in order to ensure the fair treatment of Investors and to reduce the risk of legal liability, regulatory censure or damage to its commercial interests and reputation.

III. APPLICABILITY

Personnel, should, when considering conflicts of interest, also consider the conflicts policy of the Investment Manager, in adherence to Regulation 21 of the SEBI AIF regulations. The Conflicts Policy is designed to ensure that the Investment Manager complies with its obligation to manage conflicts of interest fairly.

This Conflicts Policy takes into account circumstances, of which Investment Manager is or should be aware, which may give rise to a conflict of interest arising as a result of the structure and business activities of the other members of the Investment Manager.

This policy is addressed to all staff and personnel of the Investment Manager.

IV. DEFINITION OF CONFLICT OF INTEREST

A conflict of interest is a situation where competing obligations or motivations result in, or are likely to result in, one of the following:

- a. an investor is disadvantaged/makes a loss when the Interested Party is at an advantage/makes a gain;

- b. an investor makes a gain/avoids a loss when another investor makes a loss/is disadvantaged; or
- c. any instance in which activity of Investment Manager in one situation may compromise its advice or create a perception that its advice may be compromised and therefore limit its ability to act in another situation.

V. IDENTIFYING AND MANAGING CONFLICTS OF INTERESTS

A. A number of examples of potential conflicts of interests are outlined below. However, the examples listed below are not exhaustive and other types of conflicts of interest may arise during the tenure of the fund.

1) At the level of the employees and personnel of the Investment Manager and/or its Affiliates

Certain personnel of the Investment Manager, and/or its Affiliates, including the partners and employees, may devote only a portion of their time for the operations of the Fund. In particular, such individuals may hold partnerships on the boards of other entities, and/or Portfolio Entities of the Fund, where they will be, subject to certain obligations, required to act in the best interests of such other entities, which may conflict with the best interests of the Fund and its Contributors. Such individuals may also acquire confidential information in the course of performing such other activities which they are restricted from using for the benefit of the Fund.

Managing Conflicts:

- However, such personnel will provide the time necessary for proper performance of their duties to the Fund, even though they are involved in other activities (including those related to other investment vehicles) independent of the Fund.
- The Investment Manager shall act in a fiduciary capacity towards the Investors. The Investment Manager will abide by the highest standards of governance in resolving such conflicts. E.g. It shall only devote so much of their time to the Fund's business as is, in their judgement, reasonably required.
- Control of information: preventing/controlling the exchange of information between opposing sides of an actual or potential conflict of interest, e.g. by establishing a Chinese wall.

2) At the level of service providers of the Fund

- Certain advisors and other service providers, or their Affiliates, (including accountants, administrators, lenders, bankers, brokers, attorneys, consultants, investment or commercial banking firms and certain other advisors and agents) to the Fund or its Portfolio Entities or their Affiliates may also provide goods or services to or have business, personal, political,

financial or other relationships with the Investment Manager and its Affiliates. Such advisors and service providers may be investors in the Fund, or Affiliates of the Investment Manager, sources of investment opportunities or co-investors or counterparties therewith. These relationships may influence the Investment Manager in deciding whether to select or recommend such a service provider to perform services for the Fund (the cost of which will generally be borne directly or indirectly by the Fund, as applicable).

- In certain circumstances, advisors and service providers, or their Affiliates, may charge different rates or have different arrangements for services provided to the Investment Manager or its respective Affiliates as compared to services provided to the Fund, which will result in more favourable rates or arrangements than those payable by the Fund.
- The attorneys, accountants, and other professionals, who perform services for Fund may, also perform services for the Interested Parties, their Affiliates and also for Portfolio Entities of Fund.
- In addition, certain advisors and service providers (including law firms) may temporarily provide their personnel to the Investment Manager, the Fund or their Portfolio Entities pursuant to various arrangements including at cost or at no cost. Such personnel may provide services in respect of multiple matters, including in respect of matters related to the Investment Manager, its affiliates and/or Portfolio Entities and in any such circumstance the benefits or costs of any such personnel will be allocated in the Investment Manager's discretion, taking into consideration the usage of such personnel.

Managing Conflicts:

- In cases where advisers or other services providers as mentioned in above scenario have direct or indirect interest or concern in such conflicted transaction so as to place the Investment Manager and/or its personnel in a position where such relationship conflicts with the fiduciary duty to the Fund then – (a) such conflict shall be disclosed in full to the Trustee and the Investment committee; (b) such conflicted transaction must be reviewed and approved by the investment committee; (c) the interested party to such conflicted transaction shall not participate in any decision making; (d) if such conflict relates to investment in an “Associate” as defined under regulations, the same shall require the approval of Super-majority of the investors.
- The advisers or other service providers who perform services for the Fund and/or also perform services for the Interested Parties and their affiliates. Further, Associates of the Investment Manager and the Sponsor may also provide services to the Fund or any Investee Company. The fees ascribed to the Investment Manager or Sponsor and any fees charged to the Fund or any Investee Company by an Associate of the Investment Manager or Sponsor will be disclosed periodically to the Investors.
- Where the arrangements made to manage conflicts of interest are not sufficient to ensure, with reasonable confidence, that risks of damage to the interests of an investor will be prevented, Investment Manager may possibly

disclose the general nature and/or sources of conflicts of interest to the investor before undertaking business for the investor.

3) At the level of the Investment Manager/Sponsor:

- In case of Co-investments
- The Investment Manager will have conflicts in allocating management and professional time among the Fund on one hand and its other activities/operations on the other hand.

Managing Conflicts:

- The Investment manager shall disclose in its investor communication report in case of any co-investments made.
- The Investment Manager shall ensure that the terms offered to the co-investor are not more favourable than those offered to the Fund.
- In case the interested party is the probable co-investor then it shall not participate in the decision making.
- The Investment manager shall offer co-investments as per the SEBI (Portfolio Manager) Regulations. The time of exit from the investment in portfolio companies by the co-investors will be the same as that of the Fund.

4) At the level of the investor:

Contributors may have conflicting investment, tax and other interests with respect to their purchase of the Units. The conflicting interests of individual Contributors may relate to or arise from, among other things, the nature of the Portfolio Investments made by the Fund, the structuring or the acquisition of the Portfolio Investments and the timing of the disposition such Portfolio Investments. As a consequence, conflicts of interest may arise in connection with decisions made by the Investment Manager, including with respect to the nature or structuring of investments that may be more beneficial for certain Contributors in comparison to the others, especially with respect to the individual tax situations of Contributors. In selecting and structuring investments appropriate for the Fund, the Investment Manager will consider the investment and tax objectives of the Fund and the Contributors as a whole, and not the investment, tax or other objectives of any individual Contributor.

Managing Conflicts:

- The Investment Manager shall act in a fiduciary capacity towards the Investors. The Investment Manager will abide by the highest standards of governance in resolving such conflicts. Eg. It shall only devote so much of their time to the Fund's business as is, in their judgement, reasonably required.
- The Interested Party and its affiliates to such conflicted transaction shall not participate in decision making.

5) Purchase from and sale of Investments to Interested Parties:

The Fund or its Portfolio Entities may purchase investments or assets from, or sell investments or assets to, the Interested Parties. In such cases, conflicts may arise in

determining the price and terms of the sale or purchase as the case may be. The Interested Parties and their personnel may have information about the Fund's/Portfolio Entity's investment policies and strategy that would assist the Interested Parties wishing to purchase from or sell investments to the Fund/Portfolio Entity. Interested Parties may have an incentive to seek, refer or recommend such investments to the Fund, or pay a price for such investments, or agree on other terms that are not as favourable as might be obtained from an unaffiliated third party acting on a completely arm's length basis, as a result of such Interested Parties' financial interest in such investments.

Managing Conflicts:

- The Investment Manager shall ensure that any purchase from or sale of investments by the Fund to Interested Parties occurs at arm's length terms.
- The Interested Party and its affiliates to such conflicted transaction shall not participate in decision making.
- Such investments shall be approved by the remaining members of the investment committee. Further in case the Sponsor or Investment Manager has any conflict of interest with the Fund in any proposed transaction, the same shall be disclosed to the Contributors as and when they arise or seem likely to arise.

6) Confidential or sensitive information:

Interested Parties may hold or receive confidential or commercially sensitive information in the course of their business that may be relevant to the activities of the Fund or its Portfolio Investments, including prospective investment opportunities of the Fund. Such parties shall not be obliged to disclose such information (or the existence of such information) to the Investment Manager or anyone else connected with the Fund.

Managing Conflicts:

- The Investment Manager will operate information barriers and other measures designed to prevent the inappropriate disclosure and use of confidential information in accordance with applicable regulations and its internal policies and procedures.
- No person may acquire, or derive personal gain or profit from, any business opportunity or investment that comes to his attention as a result of his association with another company, and in which he knows such company might reasonably be expected to participate or have an interest, without first disclosing in writing all relevant facts to Investment Manager, offering the opportunity to Investment Manager, and receiving specific written authorization from the Committee.

7) Interests of Interested Parties:

The Fund may make Portfolio Investments in entities in which Interested Parties, the funds managed or advised by them or their portfolio companies have existing investments or other interests or commercial relationships. Without limitation, the Interested Parties may:

- (a) provide services to the Fund, entities in which Portfolio Investments have been made and/or other entities having a relationship with the entities in which Portfolio Investments have been made, including without limitation, distribution services, equity and debt financing, underwriting or private placements of securities, corporate finance and advice on mergers and acquisitions, and other advisory or financial services including in connection with any investments or divestments;
- (b) hold a majority or minority equity or other ownership stake in, or provide other forms of financing to, entities in which Portfolio Investments may be potentially made, or advise other entities in respect of such equity interests or other financing arrangements, either before, at the same time as or after Fund acquires an interest in such entities, and may have investment objectives or other interests with respect to such entities that conflict with those of Fund;
- (c) have relationships with leveraged buyout firms, private equity sponsors and other Investors (including institutional investors and their senior management) who may invest or may have invested in entities in which Portfolio Investments are made or which may compete with Fund for investment opportunities in such entities; and/or
- (d) advise or represent potential buyers or sellers of assets or companies in which Fund has an interest or is proposing to acquire an interest, or may themselves buy assets from or sell assets to Fund.

Where an Interested Party represents a buyer seeking to acquire a company, Fund may be limited or precluded during the pendency of such assignment from investing in or selling securities issued by such company. Additionally, there may be situations in which a seller advised by an Interested Party permits Fund to act as a participant in the purchase of the company. In such cases, certain conflicts of interest will be inherent in the situation, including those involved in negotiating the purchase or sale price (as the case may be).

Fund may also purchase Portfolio Investments, directly or indirectly, from investment vehicles managed or advised by Interested Parties. In such cases, conflicts may arise in determining the price, valuation of the investment and terms of the purchase, which will be resolved or mitigated by the Investment Manager in accordance with Applicable Law and the Fund Documents.

Managing Conflicts:

- In order to address any such conflict of interest, such Interested Party shall, to the extent possible, not be involved in such matters where there is a potential conflict of interest.
- Further in case the Sponsor or the Investment Manager has any conflict of interest with the Fund in any proposed transaction, the same shall be disclosed to the Contributors as and when they arise or seem likely to arise.
- In case of co- investments in a Portfolio company by the Sponsor or any other interested Party, the same shall not be on terms more favourable than those offered to the Fund. The Investment manager shall offer co-investments as per the SEBI (Portfolio Manager) Regulations. The time of exit from the investment in portfolio companies by the co-investors will be the same as that of the Fund.
- At the time of taking investment/divestment decisions the interested party and its affiliates will not participate in any vote on transaction.

8) Portfolio Entity Board:

As part of its investment methodology, the Investment Manager may require Portfolio Entities to grant to the Fund a seat on the boards of partners of such Portfolio Entities. The seat will be filled by a nominee of the Investment Manager or such other third party (industry expert or otherwise) as the Investment Manager may deem fit, which may include, among others, partners of the Investment Manager. As a consequence, such persons will have fiduciary and other duties to the Portfolio Entity, which may conflict with the interests of the Fund. While board representation is an important aspect of the Funds investment philosophy and would enhance the Fund's ability to manage its investments, it may also have the effect of imposing certain reporting requirements and other limitations on the ability of Fund to sell its investments, such as limitations on the timing of sale or terms of sale. Similarly, representation on the board of partners of a portfolio entity can result in being named as a defendant in litigation. Typically, portfolio companies will have insurance to protect partners and officers, but such insurance may be inadequate.

Managing Conflicts:

- At the time of taking investment/divestment decisions the interested party and its affiliates will not participate in any vote on transaction.
- It is the fiduciary duty of the Investment Manager to ensure that terms offered to others are not more favourable than those offered to the Fund.
- Records of such positions and/or any instances of conflict of interest arising from such position shall be disclosed to the investors.

9) Inducements:

Staff must not offer to give, or solicit, or accept any inducements in the course of carrying on regulated business which is likely to conflict with any duties owed to Investors. Before offering gifts or benefits to third parties, or accepting gifts or benefits from third parties as an incentive to doing business, the matter must be approved in advance by the partners of the Investment Manager. All gifts worth above INR 50,000/- must be pre cleared with the partners of the Investment Manager.

B. Other Measures and Procedures suitable for managing conflicts of interest:

- **Control of information:** preventing/controlling the exchange of information between opposing sides of an actual or potential conflict of interest, e.g. by establishing a Chinese wall;
- **Separate supervision:** subjecting individuals on opposite sides of an actual or potential conflict of interest to separate supervision;
- **Removal of remuneration links:** removing direct links between the remuneration of individuals on opposite sides of an actual or potential conflict of interest;
- **Control over inappropriate influence:** preventing the inappropriate influence of one individual over another, e.g. where the person who decides or influences an individual's bonus may exert undue influence over that individual's integrity of judgment;
- **Segregation of duties:** preventing/controlling the involvement of individuals in simultaneous/sequential tasks.

These measures and procedures have been designed to ensure that those engaged in business activities involving a conflict of interest are able to carry on those activities at a level of independence appropriate to the size and activities of Investment Manager and the Investment Manager, and to the materiality of the risk of damage to investor interests.

VI. RESPONSIBILITY

The partners of Investment Manager are responsible for this Conflicts Policy and its implementation. The partners have delegated the day-to-day operation of this function to the Head - Compliance, and undertakes periodic reviews of Investment Manager conflicts its procedures as well as ad hoc decisions on specific conflicts.

The identification, escalation (where appropriate), management and resolution of conflicts and potential conflicts is the responsibility at all times of the persons who are acting or seeking to act for Investors as soon as a conflict or potential conflict is identified and at each stage of the conflict management process.

The Head - Compliance is responsible for on-going monitoring of compliance with this Conflicts Policy.

VII. REPORTING TO THE HEAD – COMPLIANCE

As an investor may be involved in transactions within Investment Manager and may have duties and interests which conflict with those of other Investors serviced by Investment Manager and/or with the interests of affiliates of Investment Manager and their Investors. If you have reason to believe that a conflict may exist either within Investment Manager, which is not adequately dealt with in the measures referred to in this Conflicts Policy, you must inform the Head - Compliance immediately by way of sending an email at hetal@anchoragecapital.in.

The Head- Compliance shall try and resolve such conflicts and ensure that conflicts are adequately mitigated.

VIII. TRANSPARENCY AND DISCLOSURE OF CONFLICTS OF INTEREST

There are certain conflicts that are inherent to Investment Manager role as an investment manager, operator and its position within Investment Manager.

Where the arrangements made to manage conflicts of interest are not sufficient to ensure, with reasonable confidence, that risks of damage to the interests of an investor will be prevented, Investment Manager should clearly disclose the general nature and/or sources of conflicts of interest to the investor before undertaking business for the investor.

The disclosure must be made in a durable medium and include sufficient detail, taking into account the nature of the investor, to enable that investor to take an informed decision with respect to the service in the context of which the conflict of interest arises.

At least on annual basis the Investment Manager shall provide such disclosures in the report to the investors.

Disclosure to the investor about the risk that arises out of such conflicts of interest and their acknowledgement to existence of such risks shall be made by the Investment manager in the following manner:

By subscribing to Units in the Fund, each Investor shall be deemed to have acknowledged the existence of such potential or actual conflicts of interest, to have accepted that such conflicts will be dealt with in the manner described in the Conflicts of Interest Policy and in the Fund Documents, and to have waived any claim with respect to the existence of such conflicts or the manner in which such conflicts may be resolved.

IX. RETENTION OF RECORDS

Investment Manager should keep the records for at least 5 years after the winding up of the Fund and regularly update the record of the kinds of service or activity carried out in which a conflict of interest entailing a material risk of damage to the interests of one or more Investors has arisen or, in the case of an on-going service or activity, may arise. The Head - Compliance is responsible for record keeping in relation to conflicts.